1. How do taxes work?

Let's undrstand with an example:

i. Your Salary

Salary Breakdown

Annual Gross Salary of - **₹8,40,000**

Additionally you are getting following-

HRA - **₹ 5,000 P.M.**

ii. Your investment & expenses

Mediclaim	**₹ 20,000**
Investments in ELSS, EPF/PPF	**₹ 1,00,000**
Investment in 10% FD	**₹ 1,00,000**

iii. This is how your tax will be calculated

Gross Income — includes basic salary, DA, perquisites

\- Exemptions — Types of income that are not subject to tax

\- Standard Deduction

= Net Taxable Salary

\+ Other Income — like dividends, FD interest

= Gross Taxable Income

\- Deductions — Expenses or investments that reduces the tax liability/burden.

= Net Taxable Income — Amount at which tax is levied

Note: This is the calculation of taxes under the old tax regime however now we also have a new tax regime.